

GMVML FAQ Response - Communal Electricity

Summary

In general, there are two types of electricity supplies at GMV West (and most apartment blocks with communal supplies). 1) Metered residential supplies supporting individual properties (that we all pay for individually) and 2) [Commercial](#) (or landlords) supplies that provide communal electricity to buildings (lifts, security doors, lighting, water pumps, fire safety panels, etc.) and the estate (lighting, CCTV, road barriers, central controls in the concierge, etc.). All electricity meters assigned to GMVML for the running of the village and communal areas of buildings are classified as commercial supplies in accordance with OFGEM rules. Commercial electricity for residential management companies (RMCs) is typically bought for a 12-month period using a commercial broker who charges a fixed fee per unit of consumption (so not driven by the price). The supplier (e.g., British Gas, Ecotricity, etc.) will then buy “futures” on the open market to guarantee a supply at a price that they can offer.

This FAQ provides some background on communal electricity, how it is structured at GMV and the procurement. It was drafted specifically to allay concerns that, during a period in 2022-23 when the Ukraine war and resulting energy crisis caused a spike and volatile prices, our leaseholders still received a competitive (albeit significantly increased) price. Supporting evidence to establish this conclusion was obtained and is included in the detail of this note to demonstrate that this represented good value for leaseholders in those difficult times despite very high prices and reducing government support for commercial electricity supplies, which differs from the support many leaseholders will continue to have received as residential consumers.

The conclusion is that the high price we paid (circa. 84p per kWh - before government support) in October 2022 is in line with the unfortunate market conditions at the time (Validated with government tables and two external broker ranges of 75-90p and under £1 per kWh). Due to the continued market movement, we have indications that this price is likely to fall back to 25-30p in Oct 23 with a corresponding reduction of £360,000 in costs for GMVML which has a direct impact to our Service Charge bills (circa. £326 per leaseholder for 2023-2024). This is entirely market driven and is not unique to GMVML or any actions the board has taken. It is the same for many other businesses and Residential Management Companies. **Looking forward to 2023-2024 the board of GMV has engaged with four brokers (including R&R Utilities if they can respond in the set time). This will ensure that the final price achieved (including fee) represents the best value for leaseholders.**

The supplementary information is detailed but will provide supporting information for those with an interest in why the prices were this high and if it was competitive.

Commercial meters and tendering

As mentioned above any supply going directly to a property serving a single residence is residential supply. Most of us saw a threefold increase in residential rates as smaller suppliers collapsed, some prices going from 10p to 30p a KWh (capped by the government and actually higher). Commercial supplies on the other hand are typically bought for 1 - 5 years and the energy supplier procures this on the futures market to guarantee prices, this makes it more expensive to break out of any existing deals. They do benefit from VAT reduction to [5%](#) when supplying residential buildings.

Our supplies in GMV West are split across 31 commercial meters. The pricing is based on tendering this requirement for a year for a supply starting on the 1st of October. The usage across these meters that was tendered on at the time this note was published (May 2023) is 1,255,281 KWh of consumption for the full year. We have a mix of day-night meters and single tariff meters.



Electricity meters.xlsx

R&R who manage this process on our behalf as managing agents brought this process in house in 2020 from another broker when they set up a utilities division. Tendering for this would typically begin in the preceding April period but in 2022 owing to the Ukraine war the market was non-functional and the process only concluded in September.

Their broker commission is 0.3p or £0.003 per KWh so this represents £3,765 in commission on what was a potential £1m supply in 2022 (This supply cost would have been reduced based on government support particularly for the first six months). No other fees are added. These commissions are paid by the supplier directly to the energy broker (R&R in 2022) and not billed separately to GMV. We are told this is competitive with the market and that they benefit from bulk buying power across their portfolio where they place 355GWh of electricity each year. Their communication through the process left a lot to be desired and they did not notify us when this came in house. The Board were offered an option to run this process ourselves but given the market turmoil last year and limited time to confirm back to R&R (days for the final supply placement) this introduced too much risk. Now that we have adequate notice, the Board is in the process of seeking quotes from at least one additional independent broker for the 2023-2024 supply to ensure that we obtain the best deal available in what we hope is a more settled market.

Any energy broker will earn commission on our instruction (whether this is R&R or an alternative). It doesn't make a difference to us directly as the commission is paid by the energy company to the broker. From our perspective, the key thing is the ultimate price that we get billed from the supplier. The payment of commission for our commercial supplies is no different than what happens today for our own personal domestic supplies, when we use comparison sites. See [here](#). Ultimately the mix of the energy price and commission should be lowest for this to be the cheapest supply for us.

2022 was a unique year and you can find information on how excessive the price rises were [here](#) or by googling similar articles covering CHP, electricity and gas that are commercial supplies and not protected to the same extent by government support.

Government relief and costs (2022 - 2023)

We had significant support from the government through the Energy Bill Relief Scheme ([EBRS](#)) which was designed to support commercial supplies and reduce the number of businesses suffering financial distress. This scheme ran from **1 October 2022 to 31 March 2023** (so our previous service charge year) and has since been replaced by a less generous scheme.

The discount mechanism from EBRS on wholesale prices by the government is covered [here](#). In essence there was a maximum discount of 21.1p per kWh on wholesale prices which the supplier translated to a retail discount of 40.06p per kWh through an audited methodology (implying the wholesale prices at the time were **52% of the eventual retail price**). The actual wholesale prices quoted on the government spreadsheet for Sept 2022 are 50.57 - 67.77p per kWh (these were discounted by the government to 29.47-46.67p per kWh based on a fixed 21.1p discount). **Based on wholesale prices at the time the full undiscounted retail price range was between 97.25p and £1.30 per kWh.** An effective broker would be expected to achieve a discount on these rates and this is what R&R utilities and the two brokers we spoke to have demonstrated.

AutoSaveOFF

ebrs-discounts-fixed-variable-020423

Search (Alt+Q)

Shekhawat, Shakti

FileHomeInsertDrawPage LayoutFormulasDataReviewViewHelp

Clipboard

Font

Alignment

Number

Styles

Cells

Editing

Analysis

Comments

Share

A298

21/09/2022

	A	B	C	D	E	F	G	H	I	J	K	L	M
1	Discounts for fixed contracts												
2		Gas (p/kWh)			Electricity (p/kWh)								
3	Date [T]	Reference Wholesale Price	Government Supported Price	Discount - Gas [D-G]	Reference Wholesale Price	Government Supported Price	Discount - Electricity [D-E]						
297	20/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
298	21/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
299	22/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
300	23/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
301	24/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
302	25/09/2022	16.43	7.50	8.93	51.39	21.10	30.29						
303	26/09/2022	16.76	7.50	9.26	59.88	21.10	38.78						
304	27/09/2022	16.76	7.50	9.26	59.88	21.10	38.78						
305	28/09/2022	16.76	7.50	9.26	59.88	21.10	38.78						
306	29/09/2022	16.76	7.50	9.26	59.88	21.10	38.78						
307	30/09/2022	16.76	7.50	9.26	59.88	21.10	38.78						
308	01/10/2022	16.76	7.50	9.26	59.88	21.10	38.78						
309	02/10/2022	16.76	7.50	9.26	59.88	21.10	38.78						
310	03/10/2022	14.90	7.50	7.40	65.95	21.10	44.85						
311	04/10/2022	14.90	7.50	7.40	65.95	21.10	44.85						

Cover SheetMethodologyFixed ContractsDefault & Variable ContractsDAI contracts

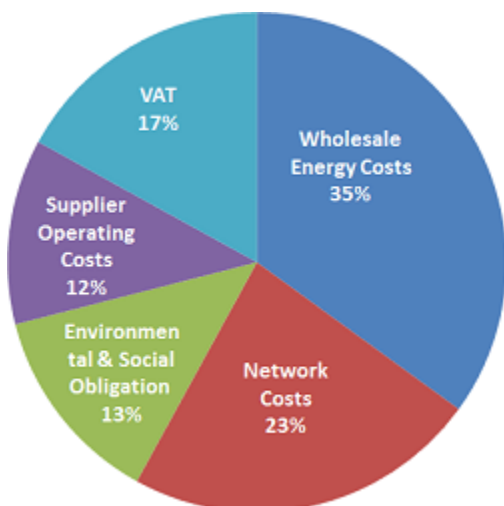
ReadyAccessibility: Investigate

Average: 03/08/1917Count: 77Sum: 06/07/3254

100%

 ebrs-discounts-fixed-variable-020423.xlsx

Links from [SSE](#) and independent [brokers](#) show wholesale prices can be as little as 35% of the energy bill we pay. This was a higher percentage for last year (circa. 52%) when wholesale prices skyrocketed **but would support a price in the region of 84p per KWh as being a competitive market rate**. It is also worth noting that one of the brokers we have engaged has indicated that wholesale costs last year went up to around 70% at times as other elements do not increase in line with this.



** Please note this is for all commercial supplies, residential management companies benefit from a VAT rate of 5%*

We had substantial relief between 1 October and 31 March 2023 (which will be reflected in last financial year's (2022-2023) final accounts). The new government scheme from 1st April 2023 is nowhere near as generous.

The Energy Bill Relief Scheme offered by the Government provided a **base discount for GMV (West) of 40.06p/kWh, over the winter period from 01 October 2022 to 31 March 2023**. So, our 84p rate was reduced to about 44p in the last service charge year.

This has now been replaced by the Energy Bill Discount Scheme, which has a **base discount for the development of 1.96p/kWh, from 01 April to 30 September 2023**. (The scheme itself continues beyond this date, but this is when the current contract ends.). This means our **effective rate is almost 82p per kWh for the first six months of the 2023 - 2024 service charge year**.



Ecotricity Pricing
Method.pdf

In conclusion, 84p is a very high rate but that is what the market rates for commercial supplies were in September for a one-year contract starting 1st of October 2023. The alternative was going on a variable rate for £1.60 per kWh which for a supply our size would have cost an extra circa. £800k or £750 a leaseholder at the time. The market did of course track downwards following that and we are likely to benefit from this for our Oct 2023 renewal.

Historic Tenders

Please see attached details summarising the tender process that R&R utilities undertook for the 2022 - 2023 supply and details of their full tender report for 2021-2022 (a year when the market conditions allowed for more price responses and comparisons). The initial tender for 2022- 2023 had one price come back but once the market began opening up again in September 2022 R&R did direct engagement with some suppliers and incumbents. The response from R&R on how their tender process was concluded is noted below and in the attached documents covering the 2022 process:



2022 Bulk Utilities
Tender Report - Lease

Good morning Nicola,

Attached is the tender report, that has already been issued.

In regard to GMV, the negotiations within the market conditions at the time went right down to the wire; especially with the late announcement of the EBRs discount. This meant that we were unable to get direct comparison pricing, as is usual, but we did have a good idea of the market rates being offered by EDF at the time, which were around the 84.25p/kWh mark.

This is compared to Ecotricity's renewal rates for GMV being, on average, 83.78p/kWh.

The comparison for standing charge is less accurate, as the standing charge rates are unique to the specifics of each meter. However, for information purposes, the mode number of EDF standing charges as < 100p per day. This is the same with the GMV Ecotricity rates. Of those meters priced under 100p/day, EDFs average was 48.82p/day, compared to Ecotricity's 43.96p/day.

The other consideration in the renewal was time; and how a delay would impact the annual cost. Markets were still volatile, and with the industry in crisis, normal switching times were extended, we surmised to a period of 2 – 3 weeks. Ecotricity's out of contract rates were 160p/kWh, and so to mitigate the additional punitive costs this would have imposed, we recommended to the RRL Board to proceed with the Ecotricity renewal rates.

I hope that provides the insight that the client Board requires, in regard to the negotiations and contract renewal.

Kind regards

For completeness the 2021 tender return where commercial electricity markets were less volatile is also included below.



R&R electricity
tender return 2021.pc

Independent Validation and future look

To further validate the rates achieved for the 2022-2023 renewal by R&R the GMV directors reached out to two independent brokers – [ECA](#) business energy (who currently place commercial supplies for Knight Dragon / Greenwich Peninsula) and [Full Power Utilities](#) (who are vetted by the Association of Residential Managing Agents and work across 200 managing agents and place over 1 tWh of energy across their portfolio).

Responses from both brokers are attached below.



Broker response - Full power utilities.pdf



Broker response - ECA business energy.pdf

Key points:

- They have both validated that 84p per kWh in September last year was commensurate with market conditions at the time (75p – 90p range and prices up to £1 per kWh)
- They have both confirmed that the market rates in Oct 2023 are currently projected to be significantly lower (25p – 30p range). **This will give us options for this year's budget to be adjusted in year once the contract for 2023 – 2024 is signed.**
- Whilst the final price from the supplier is what matters both confirmed their fee is either in the same range as R&R (0.2p vs 0.3p per kWh) or that they would commit to match or better the R&R fee

Full Power provided the following additional insights:

- RMCs given their structure (dormant status, non-trading, etc.) are only likely to receive responses from 3-4 suppliers. Full power is working closely with a number of suppliers to provide them with an over-arching security bond or for them to build in a 'risk' premium into the rates but this is a long-term initiative
- Full power would recommend that we only use them to place the energy contract and can provide a competitive fee structure. Other costs around billing management are covered on our R&R management fee and likely to be the same for any future managing agent at GMV West
- They are unable to provide a steer on the best time to tender as this would be like gazing into a crystal ball. They do recommend doing a market scan multiple times to mitigate the risk and once the requested quotes on 15/05/23 come back they will advise on next steps for the board of GMV to consider.

In conclusion, the electricity prices achieved in 2022-2023 were commensurate with market conditions at the time and leveraged all available government support. Looking forward to 2023-2024 the market is easing and the board of GMV has engaged with four brokers (including R&R Utilities if they can respond in the set time). This will ensure that the final price achieved (including commission) represents the best value for leaseholders. If other considerations are highlighted by the brokers, we will take these into account.